

Reg. No. : 13818150023.....

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Fifth Semester B.Com. Degree Examination, February 2021

First Degree Programme Under CBCSS

Core Course : CO 1541/CC 1541

FUNDAMENTALS OF INCOME TAX

(2018 Admission – Regular)

Time : 3 Hours

Max. Marks : 80

SECTION – A

Answer **all** questions. Each question carries **one** mark.

1. What is meant by direct tax?
2. What is the rate of depreciation for plant and machinery?
3. Write any two disallowed expenses while computing Income from Business.
4. What is capital gain?
5. Define annual value.
6. What is CCA?
7. Who is an assessee?
8. What is section 80C?
9. What do you mean by intra-head set-off?
10. What is STT?

(10 × 1 = 10 Marks)

P.T.O.

SECTION – B

Answer any **eight** questions. **Each** question carries **2** marks.

11. What do you mean by sub-letting?
12. Define LTCG.
13. Define MRV.
14. What do you mean by annual accretion?
15. What do you mean by commutation of pension?
16. Why income from other source is called residuary heads of income?
17. What is meant by clubbing of income?
18. What do you mean by profit in lieu of salary?
19. What is unabsorbed depreciation?
20. Explain deduction u/s 80 DD.
21. What do you mean by fringe benefits?
22. What is total income?
23. What is LTC?
24. What is meant by transferred balance?
25. Distinguish between AOP and BOI.
26. Sivakumar an Indian citizen leaves India to the USA for a job on 21.9.2019. What will be his residential status for the assessment year 2020-21 if he has never left India earlier?

(8 × 2 = 16 Marks)

SECTION – C

Answer any **six** questions. Each question carries **4** marks.

27. What do you mean by accelerated assessment? State the situations where accelerated assessment is done?
28. Explain the tax treatment of Gifts.
29. Write a note on Bond washing transactions.
30. What are the situations where clubbing is done?
31. Compute Income from House property of Mr. Felix for the financial year 2019-2020.

Municipal valuation	Rs. 1,50,000
Fair rental Value	Rs. 1,80,000
Standard rent	Rs. 1,60,000
Actual rent receivable	Rs. 20,000 p.m

Municipal taxes 4%, half of which is paid by Mr. Felix and the other half paid by the tenant. Unrealized rent admissible Rs. 25,000.

Interest on loan taken for the repairing of the property Rs. 40,000

32. Compute Income from other sources of Mr. Lalit for the year 2019-2020.

	Rs.
Director's fees	2,000
Income from agricultural land in Pakistan	5,000
Ground rent received	10,000

	Rs.
Interest on Post office Savings Bank account	2,000
Interest on deposit with IFCI	500
Dividend from a foreign company	700
Rent from sub-letting a house	26,250
Rent payable by Mr. Lalit for the sub-let house	12,000
Other expenses incurred on this sub-let house	1,000
Winning from horse race	12,300
Interest on securities	4,000

33. Mr. X is a person with severe disability. He had the following particulars of his income for the previous year 2019-20.

Income from salary	5, 80,000
Interest on savings bank account	4,000
Dividend from a co-operative society	3,000
Dividend from Indian company	2,000

Compute his total income.

34. Mr. Divakar purchased a plot of urban land in 1990 at a cost of Rs. 1,00,000. He constructed a house therein spending Rs. 12,00,000. Immediately, he spent Rs. 3,00,000 to modify the house. In March 2001, he constructed two additional rooms to the building at a cost of Rs. 4,00,000. In April 2009, he again spent Rs. 8,00,000 to remodel the house. Finally, he sold the house in April 2019 for Rs. 90,00,000. Fair market value of the house on 1.4.2001 was Rs. 30,00,000. (CII 2001-02=100, 2009-10 = 148, 2019-20=289).

Find out taxable capital gains for the year 2019-2020.

35. Compute taxable House Rent Allowance of Mr. Nagaraj for the year 2019-2020.
- Basic salary Rs. 60,000 p.m
 Dearness Allowance Rs. 10,000 p.m
 House Rent Allowance received Rs. 8,000 p.m
 Actual rent paid for the accommodation Rs. 12,000 p.m.
36. Explain income from House property exempt from tax.
37. Mr. Suresh retired on 1st August 2019 and received Rs. 1,76,000 as leave encashment. He had a total service of 23 years. The company provides 50 days leave for every year of completed service. During service he had utilized 8 months leave salary. He was receiving Rs. 10,000 as basic salary and Rs. 5,000 as DA (50% forming part of salary) before the date of retirement. Calculate taxable leave salary.
38. What are the deductions from Gross salary u/s 16.

(6 × 4 = 24 Marks)

SECTION – D

Answer any **two** questions. Each question carries **15** marks.

39. Mr. Ram Varma prepared the following P & L a/c of his business. Compute his income from Business.

To salaries	63,000	By Gross profit	86,200
To Rent	1,000	By Gift received from friends	2,000
To household expenses	10,000	Income tax refund	1,000
To income tax	1,000		
To audit fees	800		
To life insurance premium	6,000		
To Bad-debts reserve	1,000		
To Net profit	6,400		
	<u>89,200</u>		<u>89,200</u>

- (a) Depreciation allowable Rs. 3,200
- (b) Half of the rent is for his residential house.

40. Mr. Mathews, an employee of Sony Ltd. is working in Theni branch of the company. During the year 2019-20, he received Rs. 6,92,000 as basic salary. Rs. 9,000 as Entertainment Allowance, Rs. 4,000 as bonus, Rs. 5,000 as commission, Rs. 8,000 as City Compensatory Allowance, and Rs. 6,000 as arrears of bonus and commission for the financial year 2018-19. The company paid electricity bill of Rs. 4,000 on behalf of Mr. Mathews.

In addition to the above, the employer has provided a rent-free unfurnished flat (lease rent paid by the employer Rs. 69,000) and free use of a small car for private and official purposes (expenditure of the employer Rs. 7,000)

Compute Income from Salary for the year 2019-2020.

41. Explain the Residential status of an Individual.

42. Briefly explain Capital Gains exempt from tax.

43. Mr. Ghosh owns two houses. The following are the details :

	House I (self-occupied)	House II (let-out)
Municipal Value	37,500	70,000
Monthly rent	—	6,000
Municipal tax	6,000	10,000
Interest on loan taken for construction	30,000	4,000
Fire Insurance premium	6,000	—

Compute Income from House Property.

44. Explain the tax treatment of Rent-Free Accommodation.

(2 × 15 = 30 Marks)